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TECH

Netflix Reports Weaker-Than-Expected Number of New Subscribers

Video site blamed faulty internal forecasting, not business reasons like price increases

By Shalini Ramachandran

Updated July 16, 2018 at 7:41 pm ET



Netflix has been investing heavily in its content to lure and keep subscribers. Above, a scene from its show “The Crown.” ROBERT VIGLASKY/NETFLIX/ASSOCIATED PRESS

Netflix Inc. NFLX **2.35%** ▲ missed its own forecasts by more than a million subscribers in the second quarter, slowing the streaming-video site’s strong momentum this year.

Shares of Netflix, which had more than doubled in 2018, fell 14% to \$344.24 in after-hours trading Monday.

Netflix blamed its subscriber miss on faulty internal forecasting and not on business reasons, like recent price increases. The company has had such guidance problems in

past quarters, missing forecasts three times in the past 10 quarters, each causing gyrations to its share price.

On a video interview to discuss earnings, Chief Executive Reed Hastings said “we’ve seen this movie” before, regarding missed targets. He said Netflix executives never quite figured out why they similarly missed a quarterly forecast two years ago. There’s “lumpiness in the business,” he said, and the miss doesn’t affect his optimism for the business.

“Fundamentals have never been stronger,” Mr. Hastings said. “Our viewing is setting year-over-year records. We’re feeling very strong.”

In the second quarter, the company added 4.47 million international customers, short of its guidance of 5 million, and 670,000 streaming customers in the U.S., below its estimate of 1.2 million subscribers.

Netflix executives said the missed forecast isn’t affecting their belief in the fundamentals of the business and the size of their addressable global market. The company added that despite the miss, its subscriber growth in the U.S. through the first six months of this year is still ahead of the comparable prior-year period.

The company forecast adding 5 million new users for the current third quarter, well below analysts’ expectations of 6.3 million.

Overall, Netflix has 130 million total members globally, making it a media superpower and prompting other major players to look to add scale and breadth. This year, AT&T Inc. completed its acquisition of Time Warner Inc. and a potential megamerger is brewing with Comcast Corp. and Walt Disney Co. each circling 21st Century Fox’s entertainment assets.

Netflix said Monday that it anticipates more competition but believes “there is room for multiple parties.”

If Disney is successful in sealing a Fox deal, industry executives believe it will pull Disney and Fox content from Netflix and use it to stock up its own planned streaming services.

Ted Sarandos, Netflix's chief content officer, said he isn't worried, noting that the percentage of Netflix viewership coming from Disney and Fox library content is "a number that's been on the decline for several years." He said Netflix made a bet long ago that big media companies will eventually want to strike out on their own with streaming, and that underpinned its push into original shows and movies.

Netflix's sizable membership allows it to invest heavily in content. Netflix reiterated that it expects to book content expenses of up to \$8 billion this year. Analysts estimate it will spend up to \$4 billion more on shows and movies this year that will be released in the future, bringing its total cash spend on content to some \$12 billion, dwarfing rivals like Amazon.com Inc. and HBO.

It has been heavily investing in India, eyeing the world's second-largest country by population as ground for growth. Netflix said Monday that "Lust Stories," a new Indian original movie, and "Sacred Games," the company's first original series there, had strong debuts.

Netflix also has been spending to get known names to make exclusive content. In May the company signed former U.S. President Barack Obama and the former first lady, Michelle Obama, to a multiyear deal to produce Netflix shows and documentaries.

Overall, Netflix will have 700 original shows and movies on the service this year, including 80 series specific to local, non-English-speaking markets. The content has been noticed by rivals. In the U.S., Netflix last week scored 112 Emmy Awards nominations, more than any other television network and breaking a streak that HBO held on to for 17 years.

The company's marketing spend is also ballooning. It disclosed Monday that it has

spent \$1 billion hawking its shows and service in the past six months, up from \$546 million in the prior-year period.

For the second quarter, Netflix reported a profit of \$384.3 million, or 85 cents a share, up from \$65.6 million, or 15 cents a share, a year earlier. Revenue jumped 40% to \$3.91 billion.

Analysts polled by Thomson Reuters had forecast earnings of 79 cents a share on \$3.94 billion in revenue.

Netflix hasn't been immune to renewed debates across American companies about workplace culture and diversity.

During the quarter, Netflix fired chief communications officer Jonathan Friedland after he used a racial slur in two work conversations. Mr. Friedland said in a series of tweets that he spoke insensitively and it came up during a discussion of words that offend in comedy. In a memo to employees after the incident, Mr. Hastings blamed his own privilege for leading him to minimize race issues and said Netflix had work to do to improve.

—*Austen Hufford contributed to this article.*

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Appeared in the July 17, 2018, print edition as 'Netflix Misses Subscriber Mark'.

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